

Credit facilities and risk repricing

H24 | Massive track | October 4, 2026

1. Summary

Does a credit-facility disclosure identify changes in residual funding risk that option premiums do not already incorporate? Both covered-call and protective-put branches are fixed before implementation. Registered plan; numerical results pending. Verdict: INCONCLUSIVE - not yet evaluated.

2. Economic Hypothesis

A facility may provide a liquidity buffer while also revealing reliance on credit or financing constraints. The covered-call branch tests whether greater predictability leaves upside premium unusually rich. The protective-put branch tests whether continuing funding risk leaves downside protection unusually useful after all premiums and costs. A label does not establish a draw, cash receipt or elimination of risk.

Uneven interpretation of access to credit and dependence on credit is the proposed persistence channel. Call buyers demand optional upside; put sellers accept contingent losses for compensation. Actual participant behavior is not observed in this study. The mechanism fails if prior market and option information, ordinary option carry or a single stressed issuer explains the result, or if realistic lag and costs consume it. Agreements and amendments remain eligible under the served category. Complete economic registration b4159e2917248d588072ef5d9ae55bd88c3f8063 preceded the new implementation. Both branches are retained; no favorable issuer or option payoff chooses the primary rule.

3. Data & Universe

The static sponsor universe contains 100 companies. Financial inputs are Massive API data for January 1, 2022 through December 31, 2025: disclosures, historical standard contracts, nominal stock and option bars, available quotes, splits and dividends. H21 served 154 credit-facility filings across 55 issuers. The source count does not establish option eligibility, drawn funding or net trading benefit.

All 2022-2025 is exposed development. Earlier 2026 research is exposed and cannot provide fresh confirmation. Historical membership, service-release clocks and prior public-announcement timing remain limitations. The organizer's sealed interval stays excluded.

4. Methodology

Signal: `credit_facility`. Use every served primary label with no completion, receipt or excerpt-word gate. CIK/accession identity preserves bundles; the lexicographically first mapped share class is chosen before outcomes. Same-issuer decisions on one date are consolidated.

Assume availability at the session aligned to filing plus one calendar day, then add 0 session(s). Decide and select contracts at that close; enter at the next session close. Target expiry nearest 120 calendar days within 90-180 DTE and strikes near 5% OTM within one percentage point. Require verified 100-share deliverables. Buy 100 actual shares with one short call or one long put; exit ten sessions after entry.

Match one same-issuer ordinary date 84-252 earlier sessions using strictly prior momentum, RMS volatility, volume and SPY conditions. Ordinary dates have no served bundle in their preceding five sessions. Compare complete event/ordinary strategy and stock-only quartets, with matched DTE, moneyness and premium calipers. H25 additionally uses earlier debt-only and underwriting-only controls; absent component matches prevent interaction claims.

Per-side research friction is stock 6 basis points; options 5% of premium plus \$0.65 per contract. These are assumptions, not measured spreads. Fresh synchronized quote checks remain separate. Charge all premiums, dividends and modeled assignment/corporate-action cash flows. Marked trade bars do not establish executable closing fills.

All eight horizons (1, 2, 3, 5, 10, 21, 42, 63 sessions) and observable expiry are retained. Eleven variants per study cover costs, delay, maturity, moneyness, assignment and size. The shared S01-S12 specification controls training-only fitting, attribution, matching and exclusions; the 19-effect family uses 9,999 joint issuer/calendar draws at 63 and 126 sessions after synthetic-null calibration. Both lengths must pass. The focused 199 timing placebos do not replace H21's unfinished full-atlas placebo family.

5. Results

Registered plan; numerical results pending. Performance below is sourced only from verified returned tables when supplied. Unrun, unsupported and unavailable quantities remain explicit. A positive funded stock return does not identify an event-timing contribution.

Primary event portfolio	Covered call	Protective put
Annualized return	Pending	Pending
Annualized volatility	Pending	Pending
Sharpe	Pending	Pending
Maximum drawdown	Pending	Pending
Turnover	Pending	Pending
Sessions	Pending	Pending

No scheduled round-2 trading result has been imported for this paper draft. Trade counts, matched support, paired option outcomes, uncertainty, calibration and portfolio metrics are pending. Zero is not substituted for missing evidence.

Fresh OOS: unavailable. All historical output in this round is development evidence. A registered failure is retained as rejected; missing support or required evidence is inconclusive. No supported incremental-signal verdict is permitted from exposed history alone.

Results continued: response, curves and robustness

No equity curve is shown: this draft has no verified eligible NAV series. A placeholder market path or synthetic performance curve would misrepresent the evidence. The source generator will embed returned series after verified import.

Predeclared contrast	Development advancement criterion
Covered call	Simultaneous lower bounds: overlay increment >0.10 percentage points; strategy increment >0 .
Protective put	Lower bounds: additional hedge benefit >0 ; event downside reduction >0.25 percentage points; return drag >-0.50 percentage points.
Support	At least 30 pairs / 8 issuers overall; annual cells 10 pairs / 5 issuers.
H25 interaction	Positive simultaneous component contrasts against debt-only and underwriting-only observations.

Horizon and robustness results remain pending unless returned. Report every registered horizon, failed mark, expiry boundary, base/doubled cost, extra delay, 30/60-day maturity, 3%/10% OTM, assignment and ten-contract variant. These are diagnostics; they do not authorize a favorable variant to replace the primary.

Prior discovery: financing examples improved full-feature-group absolute-return prediction in each evaluation year, but all displayed adjusted p-values were 1 at both block lengths. Exposure commit 1d531db17acc3cd6f0df6cebdb2ff503b0d40b95 records that selection. H21's 350 cross-year-positive groups overlap; none passed the complete declared screen.

6. Risk Management

Each study/shape starts with \$1 million, zero cash yield, no leverage and one 100-share/one-contract unit. Name exposure is capped at 5% of NAV; funded-share gross/net and sector caps are 20%. Unknown sectors share one conservative bucket. No overlapping position in an issuer is opened. A 5% drawdown requests next-feasible liquidation and a 21-session entry cooldown. Gaps and missing exits can defeat timely liquidation.

Covered calls retain equity downside and cap upside. Protective puts cost premium and depend on valid contract/action/settlement accounting. Modeled early assignment is an assumption, with a conservative sensitivity. Unresolved actions or long mark gaps suppress reliable full-period metrics; they are not filled from future prices.

7. Liquidity & Capacity

Eligibility uses only completed pre-decision volume history. Bounded quote checks require fresh, synchronized, positive sized quotes with registered spread limits. Per-side fees and impact stress are separate from observed bid/ask. Daily volume and snapshot size do not establish intraday depth. Ten-contract stress remains a scenario; dollar capacity cannot be claimed before a supported net benefit and measured liquidity exist.

8. Limitations & Next Steps

Standard labels can be heterogeneous, and same-filing labels may describe different economic transactions. Matching is observational rather than causal. Static membership, historical label delivery, announcement timing and approximate execution remain limitations. Earlier H21/H22 selection, failed inference and inconclusive outcomes are preserved. Complete option coverage, calibrated inference, placebos and genuinely unseen confirmation are required before advancement.

PC work creates code, downloads, immutable packages and paper sources. Actual matching, backtests and inference use HiPerGator allocations; returned archives, member hashes and scheduler states must verify. Overleaf compiles and exports this standalone source. The note is a pending research draft until those evidence and compilation checks complete; it is not a competition-submission receipt.

References and reproduction record

Gator Quant Hacks, Systematic Trading and Massive challenge, retained October 3 review.

<https://www.gqhacks.com/tracks/systematic-trading/massive>

Massive, disclosure taxonomy and supporting-excerpt methodology. Historical delivery clocks remain unverified.

<https://massive.com/blog/tagging-8-k-disclosures-with-ai-corporate-events-labelled-by-what-actually-happened>

Massive, historical contract reference; historical as-of selection and deliverables.

<https://massive.com/docs/rest/options/contracts/all-contracts>

Massive, option daily aggregates; access and coverage remain source-specific.

<https://massive.com/docs/rest/options/aggregates/custom-bars>

Massive, historical option quotes; synchronized quotes and complete pagination require separate verification.

<https://massive.com/docs/rest/options/quotes>

The Options Playbook, covered-call construction and continuing equity downside.

<https://www.optionsplaybook.com/option-strategies/covered-call>

The Options Playbook, protective-put construction and premium costs.

<https://www.optionsplaybook.com/option-strategies/protective-put>

Romano and Wolf, dependence-aware resampling and multiple-test methodology. Citation does not validate implementation.

<https://www.econ.uzh.ch/dam/jcr%3Affffffffff-935a-b0d6-ffff-ffffd823d949/jasa.pdf>

Local authoritative specification: docs/massive/financing-round2-plan.md and config/financing-round2.json, with this folder's Hypothesis.md and Research Log.md. The Webull/Backtrader starter and Massive starter supply attributed infrastructure/shape references; H22 funded-share accounting is reuse context, not evidence for these hypotheses.

Paper reproduction: scripts/build_financing_paper_sources.py without `–run` creates the registered pending draft. With `–run` it requires the actual verified import, returned member hashes and completed scheduler observation before displaying returned metrics. Upload the generated single-file main.tex ZIP to Overleaf; no key, raw provider object or environment is included.

Credits: organizer source material, Massive market data, documented option shapes and cited methods informed the study. OpenAI Codex assisted with research/code/documentation and LaTeX preparation. The team is responsible for the code and claims. References are outside the main five-page budget; decisive evidence belongs in the main text. The starter's shorter-write-up instruction and reviewed five-page guidance remain a documented source conflict.